EXECUTIVE ADVISORY BRIEF

Business Insights & Strategic Recommendations

> *The company currently faces a 16.12% attrition rate, resulting in the loss of 237 employees. Through comprehensive data analysis, we have identified that turnover is not random but strongly correlated with workload distribution, compensation disparities, and overall job satisfaction. Left unaddressed, these factors risk disrupting operational continuity and escalating recruitment costs.*

Key Business Insights

Our exploratory data analysis and Tableau visualizations have highlighted five critical areas of concern:

- **The Overtime Penalty:** Employees who are frequently assigned overtime are resigning at an unsustainable rate. About 30% of overtime employees left, compared with about 10% of those who do not work overtime. Overtime is serving as a primary driver of employee burnout rather than a temporary productivity boost.
- **Compensation Deficit:** Employees who resigned had an average monthly income of $4,787, which is approximately 30% lower than the $6,833 average of employees who chose to stay.
- **Satisfaction Threshold:** Employees reporting a Level 1 (Lowest) Job Satisfaction rating are the most likely to depart (about 23%, against about 11% at Level 4), indicating systemic issues in daily work environment or management structures.
- **Commute Burden:** Employees who left lived 10.63 miles from the office on average, compared with 8.92 miles for those who stayed.
- **Hotspots in Sales, R&D and Travel:** R&D loses the most employees (133) and Sales loses the largest share of its team (20.6%). Frequent business travelers show the highest attrition rate of any travel group (24.9%).

Evidence at a Glance

Driver	Benchmark group	At-risk group	Gap
Overtime attrition rate	10.4% (no overtime)	30.5% (overtime)	About 3x
Average monthly income	$6,833	$4,787	About 30% lower
Attrition at lowest vs highest satisfaction	11.3% (Level 4)	22.8% (Level 1)	About 2x
Average distance from home	8.92 miles	10.63 miles	+1.7 miles

For overtime and satisfaction, the figures are attrition rates. For income and distance, the benchmark group is employees who stayed and the at-risk group is employees who left.

Strategic Recommendations

Based on the data, HR leadership should prioritize the following targeted interventions to reduce attrition:

1. Optimize Workload & Restrict Chronic Overtime

Immediately audit departments with the highest overtime hours. Shift from a model of continuous overtime to strategic hiring or process automation. Implementing mandatory "cool-down" periods for employees who have recently logged high overtime will help mitigate burnout-induced resignations.

2. Revamp Compensation for Underpaid Talent

Employees earning below the $5,000 monthly level are at high risk of leaving. Conduct a market salary review and offer targeted appraisals and pay corrections to underpaid employees, starting with roles where attrition is highest.

3. Reduce Commute Fatigue

For employees living more than 10 miles away, introduce flexible working hours or a hybrid work-from-home model to reduce travel fatigue and the strain of a long daily commute.

4. Intervene Early on Low Job Satisfaction

Hold one-on-one sessions with employees who report a Job Satisfaction level of 1, beginning in Sales and R&D, to resolve their core issues before they resign. Pair these with regular satisfaction surveys so that problems are spotted early, and with manager coaching where team-level issues appear.

5. Manage the Business Travel Load

Frequent travelers show the highest attrition rate among travel groups. Review travel requirements, rotate heavy travel assignments across the team, and provide recovery time after long trips.

Measuring Success

- Track the monthly attrition rate against the current 16.12% baseline.
- Monitor attrition separately for overtime employees, the under-$5,000 income band, and Job Satisfaction level 1.
- Pilot the interventions in Sales and R&D first, then extend them company-wide based on results.
- Refresh the Tableau dashboard each quarter to confirm that the key drivers are improving.